

- 3) What is meant by a demerit good? How does government intervene in the market for demerit goods?

.....

.....

.....

.....

.....

6.5 STATE INTERVENTION IN MARKET FOR EQUITY

Market, even if technically efficient, is no guarantee for ensuring equitable outcomes in an economy. This is one reason why people could be against an unhindered play of markets. It is often reported that in market economies the share of better-off sections of the economy improved is proportionately at the expense of the less fortunate. Relative share of the worse-off actually comes down substantially even though, generally speaking, every section becomes better-off in absolute terms. State often redistributes property, puts ceilings on specific kind of property like land, discourages concentration of wealth and through taxation redistributes incomes by supply public goods that are consumed more by the less well off sections of the economy or by subsidising some of their consumption. This helps in addressing the equity concerns in the economy.

This section discusses the market interventions whereby State influences distribution of income among sections that contribute to production. It generally implies intervention in factor markets. However, certain goods, mainly necessities, may require the State to intervene in their specific order to ensure a more equitable access/distribution of such goods perspective. In contrast to intervention for efficiency, intervention for equity might increase deadweight loss of the society.

6.5.1 Goods Markets

Final Consumer Goods

State regulates prices for certain goods, including by the requirement to display maximum retail price for most goods. Many drug prices are notified with ceiling. In India, quite often, Essential Commodity Act is invoked to stabilise prices of onions, potatoes, salt, etc. Some agricultural products attract minimum support prices and procurement is made by some government agency, chiefly Food Corporation of India, at harvest time. At the same time, buffer stock of certain commodities, like wheat and rice, is maintained and it is released in market when prices rise.

Intermediate Inputs and Capital Assets

Irrigation water, power and chemical fertilizers like urea are sold to farmers in India at subsidised rates. In the similar vein, capital assets like milch cattle or pump sets were once subsidised for below poverty line households, with differential subsidy amounts— depending upon the social category the beneficiary belonged to.

6.5.2 Factor Markets

Labour Market

State often imposes Minimum Wage Act to improve wage levels in the labour market. It is generally welcome though quite a few economists find it counterproductive, not without logic, as it might increase unemployment by discouraging use of labour intensive techniques in production. The law is applicable for low level of workers— unskilled, semi-skilled and skilled. Beside price intervention, there are several other interventions seeking job security and income security. However, for most of India's independent history, minimum wages have not been fully enforced in most states. Of late, it has been argued that a floor on wages has been created by the MGNREGA guaranteed wages in many states, including in the backward states where minimum wages were not enforced in reality.

Credit Market

State may use a policy of differential rates of interest for different sectors to ensure adequate flow of credit, interest subvention for equity consideration and even in the context of tax policy. In India, such lending is called priority sector lending and sectors include agriculture, micro enterprises, higher education, affordable housing, etc. where certain floors in terms of credit flows are also enforced.

Entrepreneurship

State encourages private initiative if the promoters have good workable ideas by extending tax benefits, concessional credit and even training. Recent examples are Startup India and Standup India initiatives. Besides, there are interventions at creating skill sets among youth through state intervention or attempting vocational education.

Check Your Progress 4

- 1) How are interventions for equity different from those for promoting efficiency?

.....

.....

.....

.....

- 2) Explain how intervention in the labour market by regulating wages may be counterproductive?

.....

.....

.....

.....

.....

- 3) How is intervention for development of entrepreneurial skill helpful in promoting equity considerations in a society?

.....

.....

.....

.....

.....

6.6 STATE INTERVENTION IN MARKET AND INDIAN CONSTITUTION

Part IV of the Constitution of India embodying the Directive Principles of State Policy, makes it amply clear that these principles, though not enforceable by any court, are fundamental in the governance of the country and that the State is obliged to apply these principles in enacting laws. These are said to be forerunners of the recognition by the UN of the right to development as an inalienable human right. Several Supreme Court judgements allow even tweaking of Fundamental Rights for pursuing Directive Principles provided that tweaking does not touch the basic features of the Constitution.

6.6.1 General Direction

Laws are the basic forms of intervention in the national life, ostensibly for the betterment that a Welfare State should stand for. As Art 38 says, State shall strive to promote the welfare of the people by promoting justice and reducing inequalities as enshrined in the Preamble to the Constitution. Development involves many aspects of life— social, economic, and political; and State may intervene in many of them. Directly relevant for this unit, however, are two clauses of Art 39 that direct the State to secure:

(b) that the ownership and control of the material resources of the community are so distributed as best to sub-serve the common good; and

(c) that the operation of the economic system does not result in the concentration of wealth and means of production to the common detriment.

From these two clauses, it appears that the State accepts the primacy of private ownership of material resources (Clause 39 (b)) and of market price mechanism (Clause 39 (c)) but asserts its interventionist power to correct distribution of material resources as well as to influence price mechanism so as to secure best welfare outcomes. There are several other Articles, all in Part IV, which can be seen as construing market intervention: Right to work (Art 41), Provision of just and human condition of work (Art 42), Living wage for workers (Art 43), and Participation of workers in management of industries (Art 43A). Organisation of agriculture and animal husbandry on modern and scientific lines (Art 48) and Protection and improvement of environment and safeguarding of forests and wild life (Art 48A) can also be accepted to fall in the same category.